The Iran Risk Markets Arenâ€™t Prepared For

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode argues that current market disarray (red markets, rising rates) reflects an underappreciated "ground shift" driven by a complex convergence of China's economic slowdown and escalating US-Iran tensions over the Strait of Hormuz. The host posits that while oil prices are currently trending high, the US is facing a strategic dilemma involving depleted Strategic Petroleum Reserves (SPR), domestic inflationary risks, and an aggressive Iranian posturing that could escalate into forceful blockade-breaking measures sooner than markets anticipate.

2. Key Arguments & Data

3. **Market Performance:** The S&P 500 fell approximately 0.5%, while the Nasdaq Composite (Max7) dropped 1.3%. Volatility remained muted at around 0.7% due to options expiration despite significant losses in tech giants like Meta (-3.5%) and Microsoft (-3%).
4. **Yield Curve & Rates:** The 2-year rate increased by one basis point; the 10-year yielded a rise of three basis points, bringing the yield to approximately 5.31% (the highest level since 2007). The 30-year note increased five basis points, exacerbating inflationary pressure concerns.
5. **Energy & Inflation:** Front-month Brent crude is approaching $91/bbl and WTI close to $85/bbl. Diesel crack spreads are near 100 cents. Gasoline futures rose 2.5%. Gold jumped 8.8% and miners up 2%, attributed to expected liquidity provisions in China and geopolitical risk, despite the dollar remaining flat.
6. **China's Economic Slowdown:** Two consecutive months of macroeconomic data misses have created a "ugly" slowdown narrative. The host suggests this makes beaten-down Chinese ETFs potentially attractive due to upcoming stimulus, rather than prompting a sell-off.
7. **Strait of Hormuz & US Posture:** The US has pivoted from a defensive to an offensive posture regarding the Strait. This is marked by the seizure of a UAE product tanker (unlike drone strikes). The Pentagon reportedly admitted there is no military solution short of

conquest. Iran faces economic strain from the blockade and has warned of a deadline to end it or face escalation.

8. **Strategic Petroleum Reserve (SPR):** SPR levels have been drained significantly, reaching "1982 levels" after releasing 5.3 million barrels in the week prior to the episode. Supply tightness is projected to worsen drastically if SPR release capacity ends ("cavern problems"), creating a "shot clock" scenario for oil market tightening around 2027.

9. Actionable Takeaways

10. **Monitor Chinese Stimulus:** Identify beaten-down Chinese equities and ETFs; the host suggests they may rebound as China pivots from defense to offense regarding its economy through fiscal and monetary relief.
11. **Watch Geopolitical Escalation Signals:** Closely follow US-Iran naval interactions in the Strait of Hormuz. The shift toward "offensive" posturing (seizures rather than just threats) warrants heightened risk assessment for Middle East stability.
12. **Prepare for Oil Volatility, Not Just Longs:** Do not blindly go "wildly long oil." While price pressures could push costs above 120-130/bbl, the host warns this inflates inflation risks that harm domestic productivity (e.g., AI build-out).
13. **Factor in SPR Depletion Risk:** Acknowledge the finite supply timeline. If SPR releases cease due to capacity issues, global oil supply tightens significantly as the US offsets ~2-3 million barrels/day globally.

Full Transcript

One of the, one of the things I would like to do is like think of like, all right, if everyone got that wrong, what could everyone be getting wrong again now? Or not necessarily getting wrong, but like just not thinking about not seeing, not feeling with the ground shifting beneath them. And I think there is something going on now that could fit that bill. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

All right, welcome back to another edition of the daily doc chase flying solo with you and this is my second attempt at this My office. I had some technical difficulties working with a new mic So I'm gonna do it from the studio and it's gonna be a quick one so that I don't spend my entire day doing this I'm hit the markets and then I got a few things, but it'll be it'll be relatively short for sure markets were a little a little red today. No big deal, but S&P down half percent worse than equal weight down almost 1%. Qs were up a good bit of the day, but ended up closing down about 0.2. Small caps down 0.3. The worst of the bunch though was Max7 down 1.3%. Within Max7, first and foremost, literally everything was red, but Meta down about 3.5% and Microsoft down 3%. Not great from the bigs today. Rates continue to be a big story.

Two year was normal. It was only a one basis point, but the 10 was up three. And the vigilante itself, the 30 year was up another five basis points. You're at 5.31% now, highest since 2007. And that continues to be a problem. Oil up about 3% on the day. The December contract, same thing.

So for front month Brent, you are now above 90. In fact, you're closing in on 91 and front month WTI Europe. close to 85. Gasoline futures up another about 2.5%. So that pressure, that inflationary pressure from energy still definitely alive and well. And diesel crack spreads very close to 100 today at last check. Gold up 8.8%, silver up 1.7, gold miners up 2. That was interesting because we had kind of dollar flat rates up, oil up, not what you would necessarily expect, but I'll talk a little bit more about that after the rundown.

Vol was about point seven percent. So pretty muted given the we're down half percent on the day Gets more interesting perhaps here soon especially after options expiration that might be able to come back into the forefront Despite the red, you know in max seven and everything you had the AI trade doing pretty good DRAM was of over five percent and ships were up about one percent What I want to talk about today was first of foremost Chinese slowdown Chinese data a lot of it came out last night early this morning and Literally all of it was bad and that's kind of two months in a row a lot of the Chinese macro data has been bad Missed expectations the expectations were low to begin with so this slow down in China's at this point looking pretty ugly That sounds like you might want to sell China. I think it's the opposite. It's probably true because they're gonna have to do some stimulus and That starts making some of the Chinese ETFs a little more interesting the little something to watch a little more carefully. And it also, to me, probably helps precious metals. This bottom and precious metals stick. Now, obviously, if oil gets nasty enough, gold miners might have a problem. But if China's going to do a lot of liquidity provisions, whether that's fiscal, monetary, both, probably going to be pretty good for precious metals. But there are some beaten up Chinese ETFs and equities that may be worth kind of getting the rake out and raking through to find a couple things. There is a particular ETF in China. It's kind of been beaten up that I have my eye on. May talk more about in the future, but for now, just something to kind of put an opinion for the future. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may

differ. The last thing I was talking about was the ran and oil and kind of the whole picture.

Uh, so this will be very short, but I ran announced that they're going to move their defense posture from a very Defensive focus to an offensive focus I think you already kind of see that in the straight a bit I think we're up to like 17 ish days in a row where they've attacked shipping in the straight Obviously, that's a big deal Uh, the amount of oil getting through the amount of ships getting through Seemed to be a little lower here lately and even to the point that they're not if one's getting hit every day at some point, they are going to be lower. But today, they rastered that up a little bit. They seized a ship. It was a product tanker coming from the UAE. If they start seizing ships, it's a little bit different than flying a drone into the engine room or whatever. We're doing a warning shot or whatever. Bigger deal if they start seizing ships. That's something to keep an eye on. When it comes to oil today, I mentioned how the price movement looked.

And we'll note from a technical standpoint the December 26 contract that I follow probably most closely of all of them. That's where I've been concentrating heavily for the year. That broke out. So like from a diagonal downtrend line perspective on a daily chart, we broke above what had been resistance there and kind of put it in higher high for the last few weeks too. So notable little breakout in oil. To me, that means the White House needs to come out with another jawbone or, you know, have another trick up its sleeve soon or CTAs might be jumping in and grabbing with both hands and you could be, you could have, you know, two, three, five, six percent updates in a row. And next thing you know, like a lot of pressure on the long end, a lot of pressure on inflation, a lot of pressure on macro, a lot of pressure on politics, the whole, the whole, whole nine yards. So something to keep in mind with that, they know that. So my expectations is, you know, Axios or Pakistan or the Kurds or Al-Arabia or if somebody's going to come out and say, like, oh, don't worry about it. The thing's about over probably sometime this week. That'll be my guess. Um, the Pentagon came out of the report, reportedly at least that said there's no military solution to the straight of four moves. Um, I think that's been pretty obvious for me at least since March, really since the first time they went after a ship and said this closed, uh, and, and, you know, the amount of ships they went through

got throttled. But I still feel like it might be news to some people. It's probably frustrating the White House that depending on saying that, but it's just an objective fact, at least for now, that there's no way the military can go in there and reopen it other than conquering the entire area, which has a cost benefit analysis situation that is skewed so heavily that it's not even worth mentioning. And if you go back to, you know, when that first happened, Immediately us officials came out and said no, don't worry about it. We're gonna we here's this cool like insurance program We have we're gonna fix the insurance so don't worry because we're gonna we're gonna escort the ships out things be back to normal in no time Obviously that all aged terrifically Just like you know all of the we control the straight You know protestations we've seen in the last couple months They don't really you know bear out any any of the facts obviously So One of the one of the things I would like to do is like think of like all right if everyone got that wrong What could everyone be getting wrong again now or not necessarily getting wrong but like just not thinking about not seeing not feeling with the ground shifting beneath them and I think there is something going on now that could fit that bill and that is you know, we have the Blockade going over ran right now, which is effective. They are not getting stuff out of you know through the Gulf and that does hurt their economy They know their oil productions basically down to domestic consumption now. So like they're down as far as they're gonna go That hurts them for a couple million barrels a day that hurts them for a lot of money. No doubt about it Their economy is feeling a lot of pain. I think most people just look at that and we're like, well, yeah, like there's nothing to do about it I think the reality is they can there's a cost to it It won't be easy. It might really flare up the war. It might bring other actors into the war It might come with more international combination than they've had to face so far, like all these kinds of things, right? It might make the Americans so mad that, you know, we fly off the handle, do a bunch of punitive bombing, like, there's all kinds of outcomes that wouldn't necessarily be fun for them. But they had the capability to try to break the blockade through force. As I've mentioned many times, you know, more back in like March and April, but if you combine their ballistic missiles, their coastal defense missiles, their rockets, their underwater drones, their surface drones, their remote control, suicide boats. They have a lot of different options to go and hit ships. They also still have some submarines that have their own ability to hit with projectiles

under the water. So if they really wanted to do damage to shipping, not shipping, but US naval assets that are enforcing the blockade, they can. It all comes down to the political calculations, but as far as can they, the answer is yes. So as they make this pivot from defense to offense, they've actually started to in the last couple of days warn on this to be like, hey, we might not be willing to take the blockade forever. And they've even said that they're going to give us a deadline to end it.

or they will do something. Now, they may do something other than hit naval assets to try to break that. It may be some diplomatic thing or who knows what, or just launching rockets or missiles at our bases again or oil infrastructure in the region. It doesn't have to necessarily be like, let's go try to take out some naval asset of the US or multiple. Point is, they seem serious about that. They have the capability to you know, make us feel some form of pain in order to get us to back off of the blockade. So that's something that's like, that's where my attention is kind of turning to your terms. It's not, it's not more medium term. So like, are they going to do something to try to break the blockade? Because, you know, we can keep the blockade going for sure for a while. Now, you know, we'll price to get high enough that that really starts incentivizing us. I should say, you know, at the end of the day, inflation gets high enough. Political outcomes from inflation get high enough to start really messing with the calculation on the US side. Can they make that happen before the pain of the blockade for them is so cute, they got to do something about it. So they have multiple levers they can pull to try to speed this process up. So I would start looking for that. And I would not rule out them trying to break the blockade through force. And I think that's the thing that the markets aren't thinking about your average expert is not talking about like, hey, they can try to break the blockade of the force. And hey, maybe they will. And what does that look like? What does that do to markets? What does that do to the calculus of the region? What does it do to the calculus of the U.S.? What is trying to think about that? What does Europe think about that? Does anyone want to join the U.S. and fight back if they were to sink a battleship or something? All questions that are unanswered that are difficult to answer, but All we're thinking about. Along these lines and the oil price and everything, I have to mention SPR, which is now down to 1982 levels. We've been in 83, 83, 83 the last few weeks. We just drained another 5.3 million barrels down to 293

barrels. Million barrels left, which is a 1982 level. We can keep going. I don't know where. There are some experts starting to warn of some sort of cavern problems and stuff here soon.

I think they could take it down, you know, under 200 if they want. I'd really do. I think they may be on taking down to 100 or below if they want. But I think the risk could get a little bigger every week on that front. But whenever that ends, and at some point it does end because you can do the math, you keep doing five a week, 293, you know, we can all do the fifth grade math on the runway there. Once that ends, the market is going to tighten dramatically. Because five million barrels is a lot of barrels in the global context if you think about let's say they're getting five million through the through the Gulf and another Two offset through the Red Sea or whatever at seven China, you know, so five five from us offsets at seven Call it the 13 missing China's not buying some so the 13 really is you know more like eight or whatever Point being five point three In a week it does it does a lot right the global SPR drawdown has been kind of two to three million barrels a day That's two to three percent of global supply, but it's also you know What is that twenty thirty percent of the deficit that we see and a hundred percent of the Onshore visible deficit we've had since the crisis rolled out now we've had more you know More more deficit than that in real life because a lot of the deficits coming from places you can't see but the visible has been about three million a day And the SPR release has been close to three million a day So if you go from say three to six because all of a sudden you're not doing SPR releases Now maybe that's 2027 or whatever but somehow that's not that far away all of a sudden but You can see where the math like it that really really tightens things up So We kind of have a shot clock in that way. You can argue, maybe Iran has their own shot clock is why they want to start pressing the against the blockade. And I also wouldn't put it past the US to let a few out so they don't do anything or, you know, just at any point I would not be shocked if we just took our ball and went home or just went ahead and agreed to the bad deal or whatever. That's still on the table. So like, I still don't believe in.

Being wildly long oil because you know it's going to 200 or any of that because You know at 120 130 they're prop. That's we're probably enough for us when we go home, right? So and if I'm wrong then we're really

actually willing to eat the pain of you know 5% inflation and I don't even want to know what what yield in the 30 year etc like the growth impact that would have at that point you're kneecapping the AI build out like all kinds of strategic problems to, you know, just have a sort of an absurd duel in the Middle East that you have no business having a strategic from a strategic perspective. So all things to think about, but that's it for me today. I or we will be back tomorrow and in Zex out of the office this week. So I don't know if he's going to be joining or I'll be solo all week or he'll be popping in for some of these or the rest of these. We'll just have to find out together. But that's it for me.

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